

Q&R Thriving Cities Framework

Rough draft/concept overview

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The role of a city is to facilitate exchange, which in turn, generates sustenance, wealth, and culture for its inhabitants. New value is created through the reciprocation of ideas, goods, and culture between people. The more opportunities for exchange, the greater diversity of ideas and goods, drives a virtuous cycle of value creation and cultural variety. Cities, as complex, adaptive systems operate like a living organism. Life is sustained through metabolism, the processes by which a living system takes in resources, transforms them, circulates and stores them, uses them to sustain and grow itself, and disposes of waste. It is not merely energy-use or growth, "it's the continuous conversion and circulation of resources that sustains life (cite)."

A thriving city has a healthy *capital metabolism*: it attracts resources from outside, creates wealth internally, circulates capital efficiently, regenerates enterprises and institutions, retains meaningful productive ownership, and converts capital into enduring enterprises, buildings, and places that compound its capacity to invest in its own future.

In any living organism, a healthy metabolism *is not defined by maximum throughput or scale, but by optimization*: how effectively a system converts resources into sustained capacity, resilience, and renewal. It's the relationship between throughput, structure, maintenance, and regenerative capacity. Consequently, a city need not be a metropolis to thrive.

A. Capital Metabolism Elements (initial snapshot - but analogy extends much further)

1. **Resource inputs:** Capital, talent, knowledge, materials and outside resources are the equivalent of breathing, nutrients, and cell productive capacity.
 - Trade (breathing) brings resources and purchasing power into the local system, and also consumes external resources.
 - Cash flow/profits are the nutrients/energy- fuel for maintenance, reinvestment, innovation.
 - Capital reserves: body fat - too little / too much can both be trouble but a healthy system needs some to navigate adversity.
2. **Actors & infrastructure:** Firms, institutions, investors, banks equate to the cells, circulatory organs, skeleton and connective tissue.
 - Businesses, like cells, grow, adapt, decline and sometimes die.
 - Anchor institutions are the specialized organs that produce talent, knowledge, ip.
 - Local investors/investment funds are the circulation system bringing resources to opportunities
3. **Circulation and conversion:** Investment, business formation, redevelopment, capital recycling are the energy production activities, converting wealth, knowledge, labor into economic surplus.

- e.g. Business succession = tissue regeneration.
4. **Regulation & Regeneration:** Government and incentives equate to the homeostasis and therapeutics of a system. Regulation could also be viewed as cholesterol - some of which is healthy and necessary, but too much restricts circulation and threatens health.
 5. **Pathologies:** Capital flight, excessive external ownership, uncontrolled growth are the equivalents to hemorrhaging, loss of internal metabolic function, cancer etc.
 - These may be particularly useful for presentations or posts.

B. Sample set of applications/themes of the analogy

- **Q&R is a metabolic catalyst:** Improves the conversion of wealth, relationships, and opportunities into productive investment. Builds the capacity for local wealth to invest in the future of its own place. Organizes capital so that people who create wealth in a place have a meaningful opportunity to participate in what the community becomes next.
- **Business succession = tissue regeneration.** When a 70 year old company owner retires, the company does not need to die. Succession is successful when it transfers productive knowledge, relationships, employment, and ownership into another generation. *(So succession financing is particularly important component of metabolic health)*
- Eating isn't the objective, metabolizing energy is. A city can consume a lot of outside capital without developing endogenous capacity. Akin to calories passing through a system without producing lasting health. [Capital diarrhea?]
- An economy that requires heavily upon subsidies and tax incentives is similar to a person with a lot of medications and supplements. It may mask the symptoms of underlying, fundamental health challenges.
- The architecture of capital affects the structure of a community. **Ownership matters. Geography matters.** Local wealth becomes capital when it's intentionally deployed into local opportunities for productive gain. A community can be rich in wealth but poor in locally organized capital. It may pass in the moment for fitness, but like young athletes with raw talent but poor diet and training, soon the lack of fundamentals will be exposed. *[Natchez, MS, Butte, MT; Wheeling, West Virginia?]*
- Economic monoculture = metabolic vulnerability: A city that is overly dependent on a single employer or industry resembles an organism that is dependent on the energy pathway. **Detroit -70's-00's,** It is highly efficient until the environment changes. Diversification isn't 'more industry' - its metabolic flexibility

- The built environment affects the half-life of capital: Some forms of investment appreciate and remain productive for generations, others depreciate - physically, economically. Not only does a healthy city circulate capital well - its stores capital well.
[This is the tie-in to the work of U3 - value/per acre]
- Three types of economic leakage (hemorrhages): Companies; Talent, and Capital.
Economic development organizations are almost exclusively geared to the first two - no one/entity is charged with addressing capital leakage. (Except Q&R!)
- ***The objective for economic development should not be simple growth.*** Population growth, real estate values, and outside investment can all increase at the same time that local ownership, business formation, wealth retention, housing affordability decline.
(Akin to gaining weight while losing cardiovascular health)
- Shifts the discussion from ‘how big is the economy?’ to “How well does the economic system circulate, regenerate, adapt, and retain productive capacity

Functional [Urban] Medicine Diagnosis

- **Metabolic Test for healthy urban capital metabolism (7 components)**
 1. **Circulation:** Can capital reach productive opportunities?
 2. **Conversion:** Does investment create real productive capacity?
 3. **Regeneration:** Does today's wealth convert to tomorrow's enterprises, owners, and institutions?
 4. **Stewardship:** Is the owner behaving in a way that preserves and enhances the productive capacity in the region.
 5. **Resilience:** Can the system absorb shocks?
 6. **Exchange:** Can the city benefit from outside capital, talent, and markets without becoming dependent upon them.?
 7. **Spatial productivity:** Does the capital accumulate in a physical environment that is durable, adaptable, connected, beautiful and capable of supporting future generations of economic activity? Or what physical inheritance does this leave behind? (This is one that I'm still unpacking to simplify and clarify)

These could be paired with existing indicators to inform the relative health of a community's capital metabolism. Note that it would be important to pair indicators representing both stock/volume with circulation/flow to capture the health.

Framework - Systems Model, etc

REGIONAL CAPITAL METABOLISM

Seven functions: *What must the system do?*

Circulation · Conversion · Regeneration · Stewardship · Resilience · Exchange ·
Spatial Productivity

Eight dimensions: *What characteristics of capital determine whether those functions work?*

Quantity · Type · Source · Destination · Control · Duration · Distribution ·
Transformation

Three indicator classes: *How do we measure performance?*

Capacity · Flow · Outcome

The dimensions are lenses you apply selectively to each function, while the capacity/flow/outcome structure gives you the measurement discipline.

Metabolic function	Most important capital dimensions	What you are really testing
Circulation	Quantity, Type, Source, Destination, Distribution	Does appropriate capital reach viable opportunities throughout the regional economy?
Conversion	Type, Destination, Duration, Transformation	Does capital become productive assets, capabilities and enterprise rather than merely financial or speculative assets?
Regeneration	Duration, Control, Distribution, Transformation	Does today's investment generate tomorrow's entrepreneurs, investors, firms and institutions?
Stewardship	Control, Source, Duration, Destination	Who governs productive assets, with what time horizon, and what happens to embedded capabilities?
Resilience	Type, Source, Distribution, Duration	Is the capital system sufficiently diversified to absorb shocks without destroying productive capacity?
Exchange	Source, Destination, Type, Quantity	Does the region productively import and export capital rather than either isolate itself or experience one-way extraction?
Spatial productivity	Destination, Duration, Control, Transformation	Does capital create durable, adaptable places and infrastructure with high long-term economic and fiscal productivity?

Dimension	Question	Metabolic analogy
Source	Where did the capital originate?	Where did the nutrient come from?
Ownership	Who holds the residual economic claim?	Who incorporates the nutrient into tissue/energy reserves?
Control	Who determines what happens to the asset?	Who regulates how resources are deployed?
Destination	What is the capital financing?	What physiological function is being supported?
Duration	How long will the capital remain committed?	Is it sustaining long-term function or providing a short energy spike?
Transformation	What new capacity does the investment create?	What does the body make from the nutrient?